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2027 CYCLE

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CUET UG

Economics

Introduction and National Income Accounting

Official Syllabus · Course II: Introductory Macroeconomics · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Economics syllabus 2026, the current 2027 baseline, Course II)	Skills the questions test
Macroeconomics and basic concepts	What is macroeconomics? Basic concepts: consumption goods, capital goods, final goods, intermediate goods; stocks and flows; gross investment and depreciation; circular flow of income	Classifying goods as final or intermediate, sorting stocks from flows, and explaining the circular flow loop.
Methods and aggregates	Methods of calculating National Income — value added or product method, income method, expenditure method; aggregates: GDP, GNP, NDP, NNP at market price and factor cost	Computing national income by any method with the right precautions, and converting between aggregates without slipping.
Real vs nominal, GDP and welfare	Real and Nominal GDP; GDP deflator; GDP and welfare	Deflating nominal GDP into real GDP, reading the deflator, and arguing where GDP misleads about welfare.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Economics paper follows NCERT Class 12 Economics; national income accounting is its numerical heart — conversion chains (GDP to NDP to GNP to NNP, MP to FC) and inclusion-exclusion checks dominate the questions from this unit.

Macroeconomics: The Economy-Wide View

Microeconomics watched one buyer and one seller; macroeconomics zooms out to the whole film. One farmer's harvest is micro — the country's total food grain output, the general price level, the number of unemployed people: that is macro's territory. The subject was born in crisis: the Great Depression of the 1930s forced John Maynard Keynes to study the economy as one interconnected machine.

Concept pair	The difference	Examples to anchor it
Consumption vs capital goods	Consumption goods satisfy wants directly; capital goods produce OTHER goods (they are used up slowly)	Bread and shirts vs machines, factory sheds, roads
Final vs intermediate goods	Final goods leave the production boundary — bought for use; intermediate goods are resold or used up within the year	Bread = final; flour bought by the bakery = intermediate
Stock vs flow	Stock is measured at a MOMENT; flow is measured over a PERIOD	Wealth, capital, water in a tank vs income, investment, rainfall
Gross vs net investment	Gross = total new capital added; Net = Gross − depreciation (wear and tear)	New machines 100, wear-out 20 → net addition 80

- **The final-goods rule carries the whole chapter:** only final goods enter GDP. The flour inside the bakery's bread is already inside the bread's price — counting both would count the flour twice.
- **The same physical good can be either:** sugar bought by a household is final; sugar bought by a sweet shop is intermediate. The USE decides, never the object.
- **Stock-flow test for MCQs:** ask "could I measure it at 11 a.m. on 1st April?" — wealth: yes (stock). Income during April: needs the whole month (flow).

The Circular Flow: Why Three Methods Must Agree

Follow ₹100 through the economy. A firm pays it to a worker (factor payment). The worker spends it on bread (consumption). The bakery receives it as revenue — and pays it out again as wages and rent. Money never sits still; it loops. That loop is the **circular flow of income**, and it carries a powerful secret: production, income and expenditure are three views of the SAME rupee.

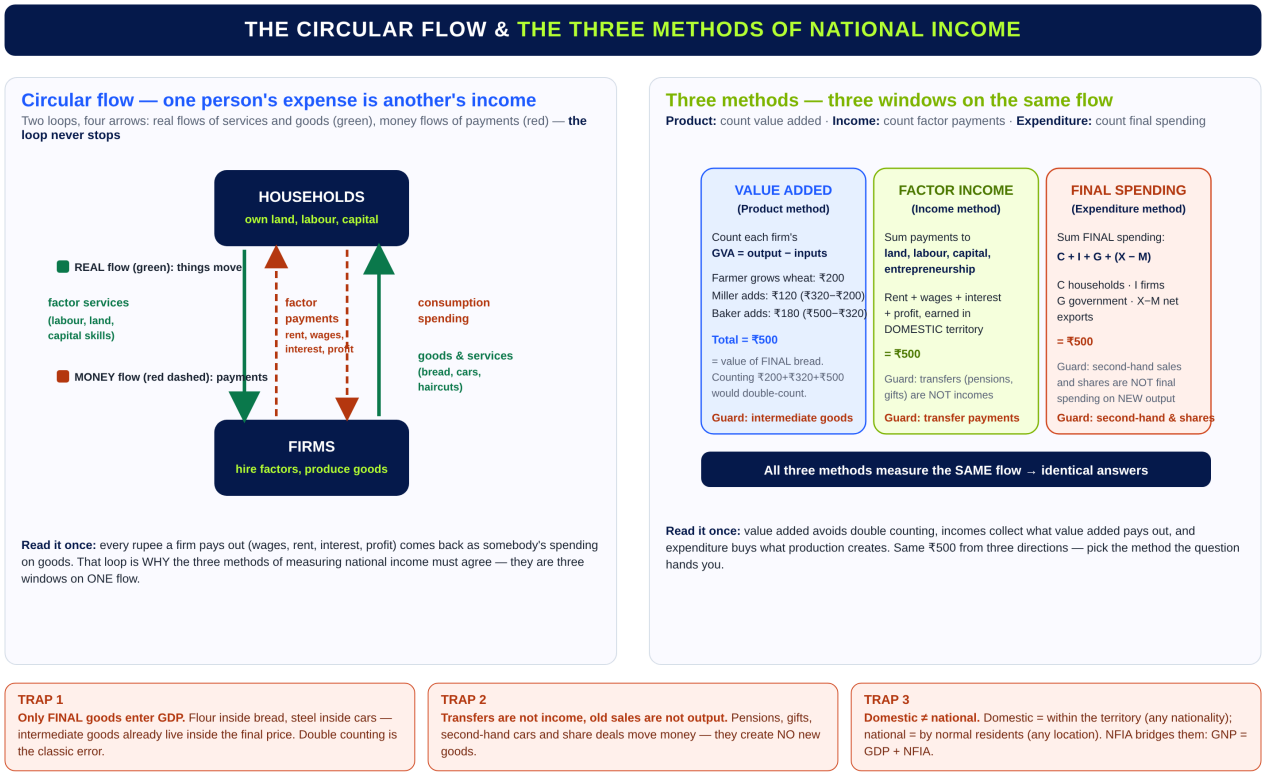


Figure 1: The circular flow: real flows of factor services and goods (green) are matched by money flows of factor payments and consumption spending (red dashed). One loop, three measuring points.

- **Production = income:** every rupee of value produced is paid out to factors as rent, wages, interest or profit. Nothing is left over.
- **Income = expenditure:** every rupee earned is spent on final goods (in the simple two-sector model with no savings leak).
- **Therefore:** National Product = National Income = National Expenditure. The three methods are not rivals — they are three checkpoints on one loop, and they must return the same number.

Method 1 — Value Added (Product Method)

Walk along the production chain and ask each firm: "how much NEW value did YOU create?" — output minus the intermediate inputs bought from others. Sum those additions and you have the economy's total, with no rupee counted twice.

THE VALUE ADDED IDENTITY

GVA = Value of output − Intermediate consumption

Sum of GVA across all firms (plus adjustments for taxes-subsidies) = GDP at market price. Counting total OUTPUTS instead of additions double-counts every stage.

WHEAT TO BREAD — KILLING DOUBLE COUNTING

Three stages: farmer grows wheat, miller grinds flour, baker bakes bread.

Firm	Output sold (₹)	Inputs bought (₹)	Value added (₹)
Farmer	200	0	200
Miller	320	200 (wheat)	120
Baker	500	320 (flour)	180
Total	—	—	500

- **Wrong route:** 200 + 320 + 500 = ₹1,020 — the wheat is counted three times, the flour twice. Double counting inflates GDP with phantom value.
- **Right route:** 200 + 120 + 180 = ₹500 — exactly the price of the final bread. The value-added method reconstructs the final good piece by piece.
- **Precautions of this method:** exclude intermediate goods; INCLUDE own-account production (a farmer's grain for his family) and the imputed rent of owner-occupied homes; exclude sale of second-hand goods (no new production) — only the dealer's commission counts.

Method 2 — Income Method

Flip the coin: value added is PAID OUT to the factors that created it. Walk through firms' account books collecting factor payments, and the same national income appears as a list of incomes.

- **Compensation of employees:** wages, salaries, employer contributions to social security — payment to LABOUR.
- **Operating surplus:** rent (land) + interest (capital) + profit (entrepreneurship) — payments to the non-labour factors.
- **Mixed income of self-employed:** the farmer-shopkeeper-doctor's income blends all four factors and cannot be split — counted as one line (huge in India).
- **Sum:** NDP at FC = Compensation + Operating surplus + Mixed income — then apply the ladder (next section) to reach any aggregate.
- **Precautions — what is NOT an income of production:**
  - **Transfer payments** — pensions, scholarships, unemployment dole, gifts: money moves with NO matching production.
  - **Windfall gains** — lottery winnings, betting gains: luck, not production.
  - **Sale of second-hand goods and financial assets** — shares, bonds, old cars: ownership changes, nothing new is produced (commissions DO count as income for the dealer's service).

Method 3 — Expenditure Method

The third window: every final good produced must be BOUGHT by someone. Collect all FINAL spending in the economy and you have bought the whole national product.

THE EXPENDITURE IDENTITY

GDP at MP $= C + I + G + (X - M)$

Letters: C = household consumption · I = gross investment (new machines, buildings, INVENTORY change) · G = government purchases of goods and services · X − M = net exports. Final spending only — no intermediate purchases, no second-hand buys, no share-market deals.

- **Why inventory change counts:** unsold output IS produced this year — it enters investment as unplanned inventory accumulation.
- **Precautions:** exclude expenditure on intermediate goods (already inside final prices); exclude second-hand purchases and pure financial transactions; include government's real purchases — but transfer payments (pensions) are again out.

The Aggregates Ladder: From GDP to National Income

One production figure, many names. The ladder has two independent bridges: GROSS to NET (subtract depreciation) and MARKET PRICE to FACTOR COST (remove net indirect taxes). Cross both and you reach National Income.

THE FOUR BRIDGES

NDP = GDP − Depreciation GNP = GDP + NFIA

NNP = GNP − Depreciation NNP at FC = NNP at MP − Net indirect taxes (NIT)

And the headline: NATIONAL INCOME ≡ NNP at FACTOR COST. **NFIA** = factor income earned from abroad − factor income paid to abroad. **NIT** = indirect taxes − subsidies.

THE FULL CONVERSION — ONE TABLE, FOUR STEPS

Given: GDP at MP = ₹5,000 crore · depreciation = ₹300 · NFIA = −₹50 (Indians abroad earn less than foreigners here) · indirect taxes = ₹600 · subsidies = ₹200.

Step	Value (₹ cr)	Rule used
GDP at MP	5,000	given
NDP at MP = GDP − depreciation	4,700	5,000 − 300
GNP at MP = GDP + NFIA	4,950	5,000 + (−50)
NNP at MP = GNP − depreciation	4,650	4,950 − 300
NATIONAL INCOME = NNP at FC	4,250	4,650 − (600 − 200)

- **Check the direction of every subtraction:** depreciation always shrinks gross to net; NIT (taxes minus subsidies) always shrinks MP to FC — the factor-earners never see the tax portion.
- **Why NFIA is negative for India:** foreign companies and workers in India send home more factor income than Indians earn abroad — so GNP sits below GDP.

Real vs Nominal GDP — and the Deflator

Prices change every year; a GDP compared across years mixes REAL growth with INFLATION. The fix: value every year's output at the SAME (base-year) prices.

- **Nominal GDP:** current year's output × CURRENT prices — grows even if only prices grew.
- **Real GDP:** current year's output × BASE-year prices — grows only when QUANTITIES grow. This is the honest measure.
- **GDP deflator:** the price index hiding inside the gap between the two: Deflator = $\frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$

REAL GDP AND THE DEFLATOR — TWO GOODS

An economy makes rice and cloth. Base year = Year 1.

Year	Output	Current prices (₹)	Base-year prices (₹)
Year 1	100 rice, 50 cloth	rice 10, cloth 20	rice 10, cloth 20
Year 2	110 rice, 55 cloth	rice 12, cloth 24	rice 10, cloth 20

- **Nominal GDP Year 2:** $110 \times 12 + 55 \times 24 = 1{,}320 + 1{,}320 =$ ₹2,640
- **Real GDP Year 2:** $110 \times 10 + 55 \times 20 = 1{,}100 + 1{,}100 =$ ₹2,200
- **Year 1 GDP (base):** both measures equal ₹2,000 — deflator = 100 by definition.
- **Deflator Year 2:** $2{,}640/2{,}200 \times 100 = 120$ — prices rose 20% since the base year; real growth is exactly 10% (2,000 → 2,200), the rest of nominal growth was inflation.

GDP and Welfare: What the Number Hides

GDP is the economy's scoreboard, not its report card. It counts what passes through markets — and stays silent about much that makes life good or bad.

- **Distribution is invisible:** GDP can rise while ALL the gain lands with the top 1% — the average person's life does not improve.
- **Non-market work is invisible:** a mother's cooking, cleaning and care never enter GDP; hiring a cook mysteriously "adds" to it. Same work, different ledger.

- **Externalities are invisible:** the factory's output counts; its smoke on the city's lungs does not. Cleaning up pollution RAISES GDP while making life better — a double distortion.
- **Leisure is invisible:** a 70-hour work week out-produces a 40-hour one — but is it welfare?
- **Underground activity is missed:** unreported incomes escape the ledger entirely.
- **The exam-safe conclusion:** real GDP per capita is a useful indicator of PRODUCTION, not a complete measure of WELFARE — public goods, equality, health and environment sit outside it.

Key Formulas & Rules: One-Stop Revision

NATIONAL INCOME ACCOUNTING — EVERY RULE ON ONE PAGE

Rule	Statement	When to use it
Value added	GVA = output − intermediate inputs	Product method; kills double counting
Income method	NDP at FC = compensation + operating surplus + mixed income	Factor-payment route
Expenditure method	GDP at MP = C + I + G + (X − M)	Final-spending route; inventories count
Gross to net	NDP = GDP − depreciation; NNP = GNP − depreciation	First bridge
Domestic to national	GNP = GDP + NFIA	Second bridge; NFIA = earned abroad − paid abroad
MP to FC	NNP at FC = NNP at MP − NIT; NIT = indirect taxes − subsidies	Third bridge
National income	NI ≡ NNP at factor cost	The headline identity
Real GDP	Current output × base-year prices	Honest cross-year comparison
GDP deflator	Nominal ÷ Real × 100	Reads the price rise since base year
Never count	Transfers, windfalls, second-hand sales, share deals, intermediate goods	Every method's precautions
Always count	Own-account production, imputed rent of owner homes, inventory change, dealer commissions	Inclusion checks

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"All money received is income"	Transfers (pensions, gifts, scholarships) match NO production	Income-method exclusions
"Selling an old car adds to GDP"	Only the dealer's COMMISSION counts — the car's value was counted when new	Second-hand sales
"GDP includes everything valuable"	Home production, leisure, clean air and equality stay outside	GDP-and-welfare arguments
"National = domestic"	NFIA separates them: territory vs normal residents	GNP vs GDP numericals
"Real GDP uses current prices"	Real uses BASE-year prices; nominal uses current	Deflator numericals
"Deflator above 100 means growth"	It means PRICES rose since the base year — growth is real GDP's story	Deflator interpretation
"Depreciation and NIT both shrink FC"	Depreciation shrinks gross→net; NIT shrinks MP→FC — different bridges	Conversion-chain numericals
"Shares bought are investment"	Financial deals reshuffle ownership; I means NEW capital goods + inventory change	Expenditure-method exclusions

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Wealth, salary, foreign reserves, exports.** Which are stocks? → Wealth and foreign reserves (measurable at a moment).
- **GDP at MP 6,000; depreciation 500; NFIA −100; NIT 300.** National income? → NNP at FC = 6,000 − 500 − 100 − 300 = ₹5,100.

- **A pension of ₹5,000 and a teacher's salary of ₹5,000.** Which enters NI? → Only the salary — the pension is a transfer.
- **Nominal GDP 3,300; real GDP 3,000.** Deflator? → 110 — prices are 10% above the base year.
- **Flour bought by a bakery vs by a household.** Which enters GDP? → Only the household's (final); the bakery's is intermediate — already in the bread's price.
- **Indians abroad send home ₹80 cr; foreigners here send out ₹120 cr.** NFIA? → 80 − 120 = −₹40 cr; GNP below GDP.

The Whole Chapter in One Picture

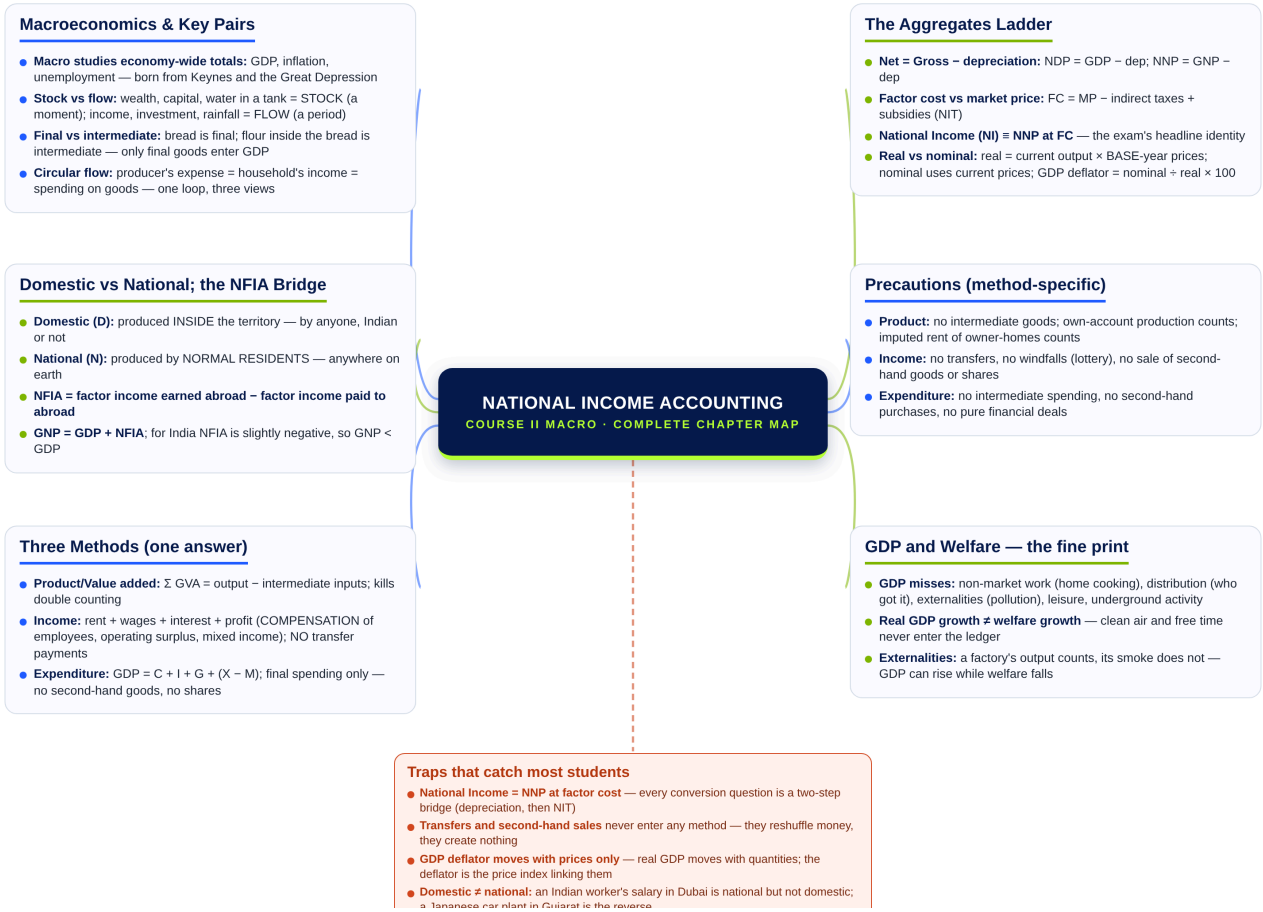


Figure 2: Chapter mindmap: macro's vocabulary pairs, the circular flow, the three methods with their guards, the aggregates ladder, real vs nominal GDP, and what GDP hides about welfare — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. Which of the following is a STOCK variable?

(A) national income
(B) investment
(C) wealth
(D) exports

Q2. Which of these IS included in national income?

(A) pension paid to retired workers **(B)** imputed rent of an owner-occupied house
(C) sale of a second-hand car **(D)** scholarship given by the government

Q3. The problem of double counting is avoided by using:

(A) the income method **(B)** the value added method
(C) the expenditure method **(D)** the deflator

Q4. GDP at market price minus depreciation gives:

(A) NNP at factor cost **(B)** GNP at market price
(C) NDP at market price **(D)** national income

Q5. National income is defined as:

(A) GDP at market price **(B)** GNP at market price
(C) NNP at factor cost **(D)** NDP at factor cost

Q6. If NFIA is negative, then:

(A) GNP exceeds GDP **(B)** GDP exceeds GNP
(C) GDP equals GNP **(D)** national income is negative

Q7. Under the expenditure method, GDP equals:

(A) $C + I + G + (X - M)$ **(B)** $C + S + G$
(C) rent + wages + interest + profit **(D)** value of intermediate goods

Q8. Transfer payments are excluded from national income because:

(A) they are too small **(B)** no production corresponds to them
(C) they are taxed **(D)** the government cannot track them

Q9. Real GDP is measured at:

(A) current-year prices **(B)** base-year prices
(C) average world prices **(D)** factor cost only

Q10. Nominal GDP is ₹2,200 crore and real GDP is ₹2,000 crore. The GDP deflator is:

(A) 90.9 **(B)** 110
(C) 200 **(D)** 1.1

Detailed Solutions

Each solution shows the working, not just the verdict — cover the answer line, attempt the reasoning, then compare.

Sol. Q1. Wealth can be measured at one instant (say, midnight on 31 March) — the stock test. Income, investment and exports need a PERIOD to be meaningful — flows.

Answer: (C)

Sol. Q2. Imputed rent counts because the owner-house PRODUCES housing services for its own family. Pensions and scholarships are transfers; the old car was counted when newly produced.

Answer: (B)

Sol. Q3. Value added subtracts intermediate inputs at every stage, so each rupee of value is counted exactly once — the wheat-bread chain totals ₹500, not ₹1,020.

Answer: (B)

Sol. Q4. Depreciation is the bridge from gross to net, and the goods stay at market price: GDP − depreciation = NDP at MP. Crossing to factor cost or national would need NIT or NFIA too.

Answer: (C)

Sol. Q5. National income ≡ NNP at factor cost — gross minus depreciation, domestic plus NFIA, market price minus net indirect taxes. All three bridges crossed.

Answer: (C)

Sol. Q6. NFIA = earned abroad − paid to abroad. Negative means foreigners earn more factor income here than Indians do abroad, so GNP = GDP + NFIA falls BELOW GDP — India's own case.

Answer: (B)

Sol. Q7. The expenditure identity collects final spending: consumption + investment + government purchases + net exports. Rent + wages + interest + profit is the INCOME method; C + S + G omits exports and inventories.

Answer: (A)

Sol. Q8. A pension buys no goods and services — no bakery produced anything for it. National income measures PRODUCTION, so money that moves without production must stay outside.

Answer: (B)

Sol. Q9. Real GDP values current quantities at BASE-year prices, freezing prices so only output can move the number. Current prices give nominal GDP.

Answer: (B)

Sol. Q10. Deflator = nominal ÷ real × 100 = 2,200 ÷ 2,000 × 100 = 110 — prices stand 10% above the base year. Option A inverted the division; option D forgot to multiply by 100.

Answer: (B)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q1 option A	Confusing every big number with a stock	Stock = measurable at a moment (wealth); income and exports need a period (flow)
Q2 option C	Counting resale as production	Second-hand sales transfer ownership — only the dealer's commission is new service
Q4 option D	Skipping the two extra bridges	GDP − dep = NDP at MP; national income needs NFIA and NIT as well
Q6 option A	Reading the NFIA sign backwards	Negative NFIA drags GNP BELOW GDP — exactly India's position
Q9 option A	Letting inflation pose as growth	Real GDP freezes prices at the base year — only quantities may move it
Q10 option D	Dropping the ×100	Deflator = nominal ÷ real × 100 = 110 — an index, not a ratio
Q10 option A	Dividing upside down	Numerator is nominal, denominator is real: 2,200 ÷ 2,000 — never the reverse

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